EG United Kingdom: Tax increases now likely in Burnham's first budget

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【メール原文】

United Kingdom

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Tax increases now likely in Burnham's first budget

Short-term trajectory:

Long-term trajectory:

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* UK Prime Minister Andy Burnham's appointment of the fiscally responsible former defense secretary John Healey as chancellor is intended to reassure the financial markets, though it points to an increase in defense spending from 2.7% of GDP today to 3.5% by 2035.
* Burnham made a number of additional spending commitments today, which, along with the likely boost for defense spending and aid, reinforce Eurasia Group's view that taxes will rise in his government's first budget in October or November.
* The challenging fiscal backdrop has fuelled speculation in Labour circles that Burnham might call a general election before 2029, but we assign only a 30% probability to this outcome.

Burnham has sprung a huge surprise by appointing Healey as chancellor. Healey resigned as defense secretary last month when he failed to win more money for the armed forces. Healey's spectacular return suggests Burnham will boost the defense budget beyond the level agreed by Keir Starmer and Rachel Reeves, who lost her job as chancellor as Burnham purged Starmer loyalists, apparently turning down a new role.

Healey, who served as a Treasury minister under then-chancellor Gordon Brown, is seen as fiscally responsible, and his appointment is intended to reassure the financial markets. At the Ministry of Defense, he failed to persuade Starmer to raise the defense budget to 3% of GDP by 2030—a figure that will now likely be on the government's agenda. On his first day as prime minister, Burnham vowed to reduce welfare spending so the UK could keep its commitments to its NATO partners, including spending 3.5% of GDP on defense by 2035.

Ed Miliband wanted to become chancellor but will instead become foreign secretary, where he will try to restore foreign aid spending to 0.7% of gross national income. Shabana Mahmood, also tipped for the Treasury job, got her wish and remained as home secretary.

Insiders claimed that, as chancellor, Miliband would have unsettled the financial markets and tried to run a "joint premiership" with Burnham as his former boss Brown did with Tony Blair. Labour figures say Healey shares Burnham's world view. Burnham will take a closer interest in economic policy than Starmer, who delegated it to Reeves, and may strengthen his Downing Street operation to dilute the Treasury's influence.

Taxes will rise in this government's first budget in October or November. Burnham made other spending commitments which, along with the likely boost for defense and aid, reinforce Eurasia Group's view that taxes will rise in his government's first budget in October or November.

His first instruction as PM was to end sleeping on the streets at a cost of £340 million. Tomorrow, Burnham will unveil a package to reduce the cost of living—a downpayment on a broader ten-year plan later this year. His team is looking at energy bills, a cap on bus fares and a freeze in rents.

Burnham told journalists he would "fix" social care (for the elderly and other vulnerable people), so it is free at the point of use like the National Health Service (NHS). Options include an earmarked tax rise or a levy on people's estates when they die. He said he wanted to cut income tax for lower earners by ending the five-year freeze in the £12,570-a-year personal allowance.

Such commitments inevitably mean other taxes will rise. Some of Burnham's new ministers want to equalize capital gains tax on the sale of assets with income tax, saying it could raise £12 billion a year.

Whitehall officials have advised Burnham the economic picture is challenging. The renewed hostilities between the US and Iran could make it even worse, through higher inflation and lower growth. In March, the government had £23.6 billion of headroom against its fiscal rule to balance income and spending by 2029-2030. But insiders suggest that the Iran war could already have reduced that to £10 billion. Another £4.7 billion will be needed to fund the defense investment plan announced last month, so Burnham will have little room for new policies without raising taxes.

Burnham said he would not be "taking risks with the economy" but wanted to use the flexibility within the existing fiscal rules to boost investment spending. Officials believe he could extend the £27.8 billion budget of the national wealth fund to catalyze private investment by £7 billion within the rules.

Reeves also bequeathed a spending squeeze ahead of the 2029 election, with a government-wide spending review next spring expected to be bruising. Hitting 3% of GDP on defense by the decade's end, while maintaining the 2.5% real-terms rise in NHS spending, would require £10 billion in cuts elsewhere. But Burnham would struggle to win parliamentary approval—Labour members of parliament (MPs) vetoed £5 billion in welfare cuts just a year ago.

Gloomy fiscal backdrop fuelling speculation that Burnham might call a general election before 2029. Although Burnham has played this down, an earlier contest would potentially free him from upholding Labour's 2024 manifesto, including pledges not to raise national insurance, VAT, and income tax rates and that Labour would not rejoin the Single Market or Customs Union or restore free movement. However, Burnham would have to contend with many Labour MPs who fear losing their seats and are urging him to wait until 2029.

Happy to discuss,

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